

**ABYSMALLY LOW
CAR PENETRATION
HAS LEFT A HUGE
UNTAPPED MARKET.
INDIA HAS ONLY
SEVEN CAR OWNERS
PER 1,000 PEOPLE.**



AUDI'S R8 4.2 QUATTRO
(ABOVE); THE SX4 HYBRID
FROM MARUTI SUZUKI



BANDEEP SINGH/www.indiatodayimages.com

made auto-components are most suited for their small cars is gaining ground. This is significant as the world is now moving towards smaller and more fuel-efficient vehicles and holds promise for global outsourcing potential of Indian components as well as Honda's and Volkswagen's strong localisation agenda. In fact, the 1.2-litre Polo coming in three versions would have 50 per cent localisation, reveals Garg. As per the Automotive Mission Plan and the vision of the Automotive Component Manufacturers Association of India, the auto-component industry is expected to reach \$45 billion by 2016. Investments in the auto-component industry, which were at \$7.2 billion in 2007-08, are likely to touch \$20 billion by 2015-16. "It is an indication of India's growing signifi-

cance in the international market, and the fact that no original equipment manufacturer can now afford to stay away," says a proud Goenka.

Investment intent matches the sentiment. Market leader Maruti Suzuki's rIII is its first major step in developing a small car in India from scratch with an investment of Rs 1,200-1,500 crore. With rivals set to showcase their latest models at the auto show, Maruti, too,

is planning a strong line-up to beat the pressure. This will help raise its output by 50 per cent to 1.5 million units in five years and double the production at its Manesar plant to six lakh units.

Honda Siel Cars India, which has two plants in the country, has invested Rs 1,620 crore so far. Says Jnaneswar Sen, vice-president, marketing: "In our second plant at Rajasthan, we have invested Rs 750 crore in Phase I to make body panels and engine components. In Phase II we will set up a car plant with fresh investment." This fits in well with Honda's new small concept car in the hatchback segment, due to be launched in second half of 2011.

GM, which has pumped around \$1 billion into its India operations, intends to make the country its focal point for manufacturing engines and power trains as well as cars for exporting to the US and Europe. Like others, it is using the investments to appoint more dealers and authorised service outlets in urban and semi-urban areas to widen its network. With an investment of \$500 million, Ford's plant in Tamil Nadu now has cutting-edge automation and hi-tech facilities. "We've committed more than \$950 million in recent years. It's a strategy built on creating great products whose appeal will reach beyond India's borders, and is in line with our business

objective to create volume-production centres of excellence in this region," says Nigel Wark, Ford India's executive director, marketing. Volkswagen's Chakan plant in Pune, set up with an investment of Rs 3,970 crore, is one of the largest investments made by a German company.

The battle is warming up and while it could be anybody's game, it is in every way a win-win deal for India. ■